

pricing model or covariance of returns,” Buffett said. “These are not subjects of any interest to them. In fact, most of them would have trouble defining those terms.”

In a published article based on his 1984 speech, Buffett included tables that presented the impressive performance results of the residents of Graham-and-Doddsville.²⁶ But it was not just the Graham approach to value investing that united these great investors. Each of these great investors—Charlie Munger, Bill Ruane, and Lou Simpson—also managed focused portfolios just like Buffett did. From their performance records there is much we can learn. But before we start this investigation, let us begin with the very first focus investor.

John Maynard Keynes

Most people recognize John Maynard Keynes for his contributions to economic theory. Few know that he was also a legendary investor. Proof of his investment prowess can be found in the performance record of the Chest Fund at King’s College in Cambridge, England.

Before 1920, King’s College investments were restricted to fixed income securities. When Keynes was appointed the Second Bursar in late 1919, he persuaded the trustees to begin a separate fund that would contain only common stocks, currency, and commodity futures. This separate account became the Chest Fund. From 1927, when he was named First Bursar, until his death in 1945, Keynes had sole responsibility for this account. In all that time, he kept its holdings focused on just a few companies. In 1934, the same year that *Security Analysis* was published, Keynes wrote to a colleague, explaining his reasoning.

It is a mistake to think one limits one’s risk by spreading too much between enterprises which one knows little and has no reason for special confidence. . . . One’s knowledge and experience are definitely limited and there are seldom more than two or three enterprises at any given time in which I personally feel myself entitled to put full confidence.²⁷

Four years later, Keynes prepared a full policy report for the Chest Fund, outlining his principles: